25901022 Scheme for Valuation
MAHATMA GANDHI UNIVERSITY, KOTTAYAM MGU-BVOC (HONOURS) Regular EXAMINATION November 2025
First SEMESTER
Minor Pathway Courses (MPC) - MG1MPCBFC100 - APPLIED BANKING
(2025 ADMISSION ONWARDS)
Duration: 1 hour 30 minutes Maximum Marks : 50
Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I)and Appreciation(Ap)
Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.
Part A Very Short Answer Questions
Answer any 10 questions Each question carries 2 marks

1. How do commercial banks promote trade and commerce? [U] / [CO1]
Commercial banks provide credit, loans, and overdraft facilities that help businesses meet their working capital needs. They also offer payment services, trade finance, and foreign exchange support, enabling smooth business transactions. These services collectively promote trade and commercial activities.

2. How do mutual funds act as a para-banking service? [An] / [CO2]
Mutual funds mobilise savings from the public and invest them in diversified financial instruments. They offer liquidity, safety, and professional management similar to banks, but without providing direct loans or deposits. Thus, they complement banking services by offering investment avenues.

3. Mention two features of NEFT. [A] / [CO3]
- 24×7 Availability – NEFT operates round the clock, including Sundays and bank holidays.
- Batch-wise Settlement – Transactions are processed in batches at regular intervals.
- No Minimum or Maximum Limit – NEFT has no minimum or maximum amount for fund transfer.
- One-to-One Transfer – It supports secure bank-to-bank and person-to-person transfers.
- Nationwide Coverage – Available across all NEFT-enabled bank branches in India.

4. State any two causes of NPAs. [U] / [CO4]
- Poor credit appraisal leading to loans being given to financially weak or unsuitable borrowers.
- Economic slowdown or recession reducing the repayment capacity of borrowers.
- Business failures due to competition, management issues, or market changes.
- Wilful default, where borrowers intentionally avoid repayment.
- Natural calamities affecting agriculture and related sectors.

5. What is meant by monetary policy? [K] / [CO1]
Monetary policy refers to the actions taken by the Reserve Bank of India to regulate money supply, interest rates, and credit availability. Its main goal is to maintain price stability and support economic growth.

6. Mention two features of banking. [K] / [CO1]
Accepting Deposits – Banks accept savings, current, and fixed deposits from the public.
Providing Loans and Advances – Banks lend money to individuals, businesses, and industries.
Payment and Settlement Services – Banks offer fund transfers like NEFT, RTGS, IMPS, and cheque clearance.
Agency Functions – Banks act as agents by collecting bills, paying taxes, and handling remittances.
Safety and Security of Funds – Banks ensure the safe custody of money and provide financial services with trust and reliability.

7. What is meant by overdraft facility in corporate banking? [U] / [CO2]
An overdraft allows corporate customers to withdraw more money than what is available in their current account. It provides short-term liquidity support to meet urgent financial commitments. Interest is charged only on the amount overdrawn.

8. State two advantages of mobile banking. [A] / [CO3]
- 24×7 Convenience – Customers can perform transactions anytime and from anywhere.
- Time-Saving – It reduces the need to visit bank branches for basic services.
- Instant Transactions – Funds can be transferred quickly through NEFT, IMPS, or UPI.
- Access to Multiple Services – Balance check, bill payments, mini statements, and mobile recharge can be done easily.
- Cost-Effective – Mobile banking often reduces transaction costs for both banks and customers.

9. Expand KYC and explain its meaning. [U] / [CO4]
KYC stands for Know Your Customer. It is a process used by banks to verify the identity and address of customers to prevent fraud, money laundering, and financial crimes.

10. When did the Banking Regulation Act, 1949 come into force, and why was it necessary? [U] / [CO4]
The Act came into force on 16th March 1949. It was necessary to regulate banking operations, ensure financial stability, and protect depositors through proper supervision of banks.

11. Explain Reverse Repo Rate. [K] / [CO1]
The reverse repo rate is the rate at which the RBI borrows money from commercial banks. It is used to absorb excess liquidity from the banking system and control inflation.

12. Explain current account. [U] / [CO2]
A current account is a bank account primarily meant for businesses and individuals who make frequent transactions. It offers unlimited withdrawals and deposits but usually does not provide interest. It supports smooth day-to-day business operations.

Part B Essay Questions
Answer any 2 questions Each question carries 15 marks
13. Explain FinTech and discuss the impact of FinTech on traditional banking. [A] / [CO3]
FinTech refers to the use of innovative technologies such as mobile applications, artificial intelligence, blockchain, and data analytics to deliver financial services. It aims to make financial transactions faster, cheaper, and more convenient. FinTech companies provide

services like digital payments, online lending, robo-advisory, and peer-to-peer transfers. These services operate with high efficiency and require minimal physical infrastructure.
FinTech has transformed customer expectations by offering instant and user-friendly services. As a result, traditional banks have been pressured to upgrade their technology and digital platforms. Banks now focus more on mobile banking, online customer support, and digital onboarding. FinTech also enhances financial inclusion by reaching unbanked and remote populations.
However, FinTech competition challenges the profitability of traditional banks. Many banks collaborate with FinTech firms to improve their service quality. FinTech promotes transparency, better risk management, and personalized services through data analytics. Overall, FinTech has modernized the financial sector by reshaping how banking services are accessed and delivered.

14. Explain the contemporary trends in banking. [U] / [CO4]
Modern banking is undergoing rapid transformation driven by technological advancements and changing customer expectations. One major trend is digital banking, where most financial services are provided through mobile apps and online platforms. Another trend is the rise of UPI and instant payment systems, which have replaced traditional payment methods.
Banks are also adopting Artificial Intelligence for chatbots, fraud detection, and customer analytics. Blockchain technology is being used for secure transactions and record-keeping. Another important trend is open banking, which allows third-party service providers to access banking data with customer consent.
The introduction of neo-banks—banks that operate fully online without branches—is also reshaping financial services. Cybersecurity has gained importance as digital transactions increase. Banks are investing more in data protection and regulatory compliance.
Sustainable and green banking practices have also gained popularity due to environmental concerns. Personalized financial products based on data analytics are becoming common. Overall, contemporary banking focuses on speed, security, convenience, and customer-centric services.

15. Discuss in detail the services provided under corporate banking. [U] / [CO2]
Corporate banking provides specialized financial services to large companies, institutions, and business clients. One of its major services is working capital finance, which helps businesses manage day-to-day operational expenses. It also offers term loans for long-term investments like machinery, infrastructure, and expansion.
Corporate banks provide cash management services to help companies manage collections, payments, and liquidity efficiently. They also offer trade finance services such as letters of credit and bank guarantees, which support domestic and international trade. Treasury and forex services help firms manage currency risks and invest surplus funds wisely.
Corporate banking also includes syndicated loans, where multiple banks fund a large project collectively. Overdraft and credit facilities provide quick access to short-term funds.
Banks also offer merchant banking and advisory services, including mergers, acquisitions, and corporate restructuring. Custodial services are offered to manage securities and assets. Insurance, derivatives, and investment products are provided as part of corporate financial planning. Overall, corporate banking ensures large businesses receive customized financial solutions for smooth and efficient operations.

16. Discuss in detail the functions of commercial bank. [U] / [CO1]
Commercial banks perform several essential functions to support individuals, businesses, and the economy. Their primary function is accepting deposits, such as savings, current, and fixed

deposits. These deposits help mobilize public savings into productive use. Another major function is granting loans and advances, including personal loans, business loans, and overdrafts.

Banks also provide credit creation, where the lending process multiplies the money supply in the economy. They offer payment and settlement services such as NEFT, RTGS, IMPS, cheque clearing, and digital transfers. Commercial banks perform agency functions, like collecting bills, paying taxes, and remitting funds on behalf of customers.

They provide investment services, including mutual funds, insurance distribution, and wealth management. Banks also assist businesses with trade finance, foreign exchange, and letters of credit.

Commercial banks maintain safe deposit lockers to ensure the security of valuables. They also play a key role in economic development by providing credit to agriculture, industry, and small enterprises.

Through monetary transmission, banks help implement the RBI's monetary policy. Overall, commercial banks support financial stability, promote savings, and facilitate smooth economic activities.